

First HoldCo Plc (NGX: FIRSTHOLDCO)

Recapitalised and earning again, but no longer cheap

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Market cap	Shares in issue	H1 2026 EPS	Price / book	Forward P/E*	Year to date	Dividend
≈ ₦6.8tn	45.48bn	₦11.74	≈ 1.9x	≈ 7.1x	+213%	None for FY2025

*Forward P/E uses FY2026 EPS of about ₦21, derived from management's guidance (see section 6). It is an assumption, not a forecast I can guarantee.

1. My investment view

I invested in First HoldCo, the parent company of FirstBank, during its clean-up phase, when the market was focused on a very large impairment charge and a capital shortfall at the bank. My average cost of ₦30.84 reflects that. The share price is now ₦150.05, up about 213% since the start of 2026 and about 387% above my cost. The question for this note is no longer "is it cheap?" but "what is left, and how much risk am I carrying?"

My thesis rests on four points:

- **The clean-up is largely done.** FirstBank took an ₦826bn impairment charge in 2025 as regulatory forbearance ended, and profit before tax fell 70% to ₦235bn. In the first half of 2026 profit before tax recovered 83.5% to ₦653.5bn.
- **Capital has been restored.** FirstBank met the CBN's new ₦500bn minimum capital before the March 2026 deadline, and its capital adequacy ratio was back at 16.7% by June 2026.
- **The franchise is large and liquid.** The group has ₦30.65tn in assets, ₦21.93tn in customer deposits and a liquidity ratio of 52.2%.
- **Strong ownership.** Chairman Femi Otedola has been buying heavily and now holds more than 20% of the shares, which signals confidence and brings fresh capital.

The honest part: the share price has already tripled this year, so much of the recovery is in the price. This is why my approach has shifted from buying to managing the position and its size.

2. The company

First HoldCo Plc is the holding company of FirstBank of Nigeria, one of the country's oldest and largest banks, and also owns investment banking and asset management businesses. The Group Managing Director is Wale Oyediji and the chairman is Femi Otedola. FirstBank accounts for the large majority of group revenue. In July 2026 First HoldCo became Nigeria's most valuable listed bank, with a market value above ₦5tn at the time.

3. The turnaround: from reset to recovery

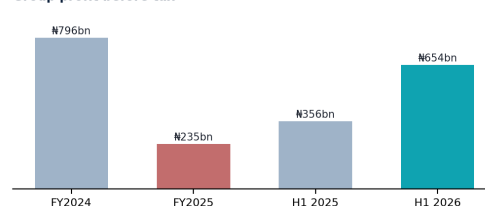
Two forces explain why 2025 looked bad and 2026 looks good.

- **The reset (2025).** When the CBN ended regulatory forbearance, FirstBank had to provision much more heavily for loans it had previously been allowed to treat leniently, especially oil and gas exposures. Impairments rose to ₦826bn, profit fell sharply, and the CBN directed banks under forbearance not to pay dividends, so none was paid for FY2025.
- **The recovery (2026).** With provisions cleared, core earnings came through. In H1 2026, gross earnings rose 16.7% to ₦1.93tn, operating income rose 25.8% to ₦1.38tn, net interest income reached ₦763bn and non-interest income reached ₦497bn. Cost-to-income improved from 50.5% to 44.2%, which means income grew faster than costs.
- **Capital rebuilt.** The group raised fresh equity through a rights issue and private placements, and shareholders have approved a further raise of up to ₦253bn to reach a ₦1tn paid-up capital base.

4. Financial performance

₦ billion (Group)	FY2024	FY2025	H1 2025	H1 2026
Gross earnings	3,212.6	3,435.4	–	1,930
Profit before tax	796.5	235.0	356.2	653.5
Total assets	26,524	27,251	–	30,650
Customer deposits	17,170	18,883	–	21,930
Total equity	–	–	–	3,630
Cost-to-income	–	–	50.5%	44.2%

Group profit before tax



- **Profit rebounded quickly.** H1 2026 profit before tax of ₦653.5bn was already well above the full-year 2025 figure of ₦235bn. Profit after tax was ₦526.1bn, up 81.6%, and EPS was ₦11.74 for the half-year.
- **Part of the growth is a low base.** H1 2025 was depressed by provisions, so the 83.5% growth rate flatters the recovery. The better measure is the absolute level of profit and the cost discipline behind it.
- **Management guidance is bold.** The group expects full-year 2026 profit before tax above ₦1.2tn. That would be roughly five times the FY2025 figure.
- **The loan book is conservative.** Net loans of ₦9.51tn against deposits of ₦21.93tn means the bank lends less than half its deposits, which supports liquidity but also means earnings lean on treasury and interest rates.

5. Management and ownership

Femi Otedola became chairman and has been the main force behind the recapitalisation. He bought shares at ₦40.06 in December 2025 and at about ₦79 in May 2026, and by 30 June 2026 held 20.40% of the group, up from 15.95% a year earlier. Reports since then indicate his stake has risen further and that he wants a majority. GMD Wale Oyedepi has led the balance-sheet repair. I like that the largest shareholder has put substantial personal capital in at much higher levels than my cost. The same facts are a risk: one investor has strong influence over the group, his buying has helped drive the share price, and minority shareholders depend on good governance.

6. Valuation and scenarios

With about 45.48bn shares, the market cap is about ₦6.8tn. Total equity of ₦3.63tn gives a book value of about ₦80 per share, so the stock trades at about 1.9x book. If the group delivers its guidance of profit before tax above ₦1.2tn, and about 80% of that converts to profit after tax as it did in H1, profit after tax would be around ₦965bn, or EPS of about ₦21. That puts the stock at about 7x forward earnings. These are not cheap multiples for a bank that was in a capital shortfall a year ago, but they are not extreme if earnings hold. The table is a scenario exercise, not a price target.

Scenario	FY2026 EPS	P/E	Implied price	Change from ₦150
Bear: H2 earnings fall back, market de-rates	₦16	6x	₦96	-36%
Base: guidance delivered, no re-rating	₦21	7x	₦147	-2%
Constructive: guidance delivered, modest re-rating	₦21	8x	₦168	+12%
Bull: earnings beat, stronger re-rating	₦24	9x	₦216	+44%

EPS figures are my own assumptions (about 25% below, at, and about 14% above the guidance-implied ₦21). They are judgement, not company forecasts.

What this tells me: the base case is roughly flat from here, the bear case is a loss of about a third, and the bull case is a gain of about 44%. The reward is no longer clearly larger than the risk, which is why position size matters.

7. Risks and what I am watching

Risk	Why it matters	What I watch
Concentration	This one stock is about 73% of the portfolio after a 387% gain. A fall in this stock moves the whole account.	Position size at every quarterly result.
Valuation after the rally	The stock is up about 213% this year and about 9% below its 24 September close of ₦165.	Price against earnings delivered.
Asset quality	2025 showed how large impairments can be. Oil and gas and legacy loans remain the sensitive area.	NPL ratio, coverage ratio and impairment charge each quarter.
Dilution and capital	Up to ₦253bn of new capital is approved, and further regulatory capital changes could add pressure.	Terms and timing of any raise.
Ownership and governance	A single investor has large and growing influence. His buying has supported the price.	Shareholding disclosures and CBN governance focus.
Earnings sustainability	Interest income fell 2.7% in H1 2026. Lower interest rates would cut treasury income.	Net interest margin and non-interest income.
No dividend	Returns depend entirely on the share price until dividends resume.	Dividend announcements with full-year results.

8. Position and risk management

I manage this position inside a friend's NGX portfolio, with his permission. My average cost is ₦30.84, the price is ₦150.05, and the position is about 73% of the portfolio. I treat position size as a decision separate from my view of the bank. Even if I stay positive on the company, one stock should not carry almost three quarters of a portfolio, so I am reviewing taking partial profits and spreading the portfolio across other names. I would re-examine the whole thesis if: (1) the impairment charge or NPL ratio rises sharply again; (2) quarterly profit falls well short of the run-rate needed for the ₦1.2tn guidance; (3) a dilutive capital raise is priced well below the market; or (4) governance or regulatory concerns about the ownership structure emerge.

9. Conclusion

First HoldCo has done what I hoped: it cleared its balance sheet, restored FirstBank's capital and rebuilt profit within a year. The business is stronger than when I bought it. But the price has moved faster than the fundamentals, so the easy gain is behind us. I still see a sound franchise that can keep earning, but I now treat this as a position to manage actively, not simply to hold. I will update this view as each quarter's results arrive.

Disclaimer: This note is my own analysis for learning and portfolio-review purposes. It is not investment advice and does not guarantee returns. Figures come from public filings and news reports listed below and may be revised. Prices and ratios are approximate and change daily.

Sources: First HoldCo FY2025 and Q1 2026 results presentation (May 2026) and H1 2026 results releases; coverage of H1 2026 results by Nairametrics, Proshare, BusinessDay and Arbiterz; Proshare analysis of FY2025 impairments; Nairametrics, PrimeBusiness and BusinessDay reports on Femi Otedola's share purchases and the ₦253bn capital raise; NGX-linked quote pages for share price, share count and year-to-date performance.